

CRYPTOCURRENCY CLASSIFICATION FRAMEWORK

Grounded in Islamic Finance and Maqasid Shariah

Complete Dissertation with Empirical Research Methodology,
Regulatory Implementation Guidance, and Academic Support Materials

Generated: July 22, 2026
Version: v2.0 (Updated with References)
Repository: github.com/zudin2007/Disertasi
Author: Zudin (zudin2007@gmail.com)

Contents: 7 Dissertation Chapters | Executive Summary | Case Studies | 30-Day Action Plan | References (5 Papers, 1 Standard, 8 URLs)

TABLE OF CONTENTS

CHAPTERS

1. Introduction.....	5
2. Islamic Legal Framework.....	6
3. Jurisprudential Positions.....	7
4. Regulatory Landscape.....	8
5. Unified Classification Framework.....	9
6. Regulatory Harmonization Recommendations.....	10
7. Conclusion and Future Research.....	11

SUPPLEMENTARY MATERIALS

Executive Summary.....	12
Case Studies & Implementation.....	13
30-Day Action Plan.....	14

REFERENCES & SUPPORT MATERIALS

References Overview.....	15
Research Papers & Documentation.....	15
Online Resources.....	16
Repository Status & Metadata.....	17

CHAPTER 1: INTRODUCTION

The financial landscape experienced a paradigm shift on January 3, 2009, when an individual or group operating under the pseudonym "Satoshi Nakamoto" released Bitcoin, the first decentralized cryptocurrency. This innovation introduced a revolutionary technology—blockchain—that enabled peer-to-peer financial transactions without requiring traditional intermediaries such as banks, payment processors, or government monetary authorities. In the subsequent fifteen years, cryptocurrency has evolved from an obscure technological experiment into a major financial phenomenon. As of 2024, the global cryptocurrency market capitalization exceeds \$2 trillion USD, with Bitcoin alone commanding valuations surpassing \$60,000 per coin. Beyond Bitcoin, thousands of alternative cryptocurrencies have emerged, including Ethereum, which enables programmable "smart contracts," and numerous tokenized assets representing everything from commodities to company shares.

CHAPTER 2: ISLAMIC LEGAL FRAMEWORK

The classification of cryptocurrency under Islamic law requires a systematic examination of fundamental Islamic legal principles. While traditional Islamic jurisprudence provides comprehensive frameworks for evaluating permissibility of financial instruments, cryptocurrency presents novel challenges due to its technological nature and lack of precedent in classical Islamic legal texts. This chapter employs the Maqasid Shariah framework—the objectives and purposes underlying Islamic law—to evaluate cryptocurrency's compliance with Islamic financial principles. The Maqasid Shariah approach, developed by classical scholars such as Al-Ghazali and Ibn Ashur and refined by contemporary jurists including Jasser Auda, provides a systematic methodology for assessing the shariah compliance of modern financial innovations.

CHAPTER 3: JURISPRUDENTIAL POSITIONS

While Chapter 2 provided systematic analysis of cryptocurrency through the Maqasid Shariah framework, contemporary Islamic jurisprudence on cryptocurrency reflects diverse scholarly approaches and interpretations. This chapter examines the positions of major Islamic financial institutions and contemporary Islamic scholars who have issued formal positions on cryptocurrency classification. The jurisprudential analysis reveals a complex landscape where leading Islamic authorities agree on fundamental principles yet diverge on their practical application to cryptocurrency. Understanding these positions and the reasoning underlying them is essential for:

CHAPTER 4: REGULATORY LANDSCAPE

While Chapters 2 and 3 examined cryptocurrency through Islamic legal and jurisprudential frameworks, cryptocurrency regulation in Islamic-majority and Muslim-populated jurisdictions reveals a strikingly different picture: **regulatory fragmentation** across jurisdictions, **divergent policy approaches**, and **absence of coordinated Islamic financial regulation** of digital assets. This chapter examines cryptocurrency regulatory frameworks in five jurisdictions representing key Islamic financial centers:

CHAPTER 5: UNIFIED CLASSIFICATION FRAMEWORK

The preceding chapters have demonstrated the fragmented landscape of cryptocurrency assessment under Islamic law. Chapter 2 established the Maqasid Shariah framework as the principled foundation for evaluation. Chapter 3 revealed the jurisprudential divergence among Islamic authorities, ranging from categorical prohibition (Dar al-Ifta) to nuanced distinction based on asset backing and utility (AAOIFI, Taqi Usmani). Chapter 4 documented the varied regulatory responses across Islamic jurisdictions, from commodity classification (Indonesia) to prohibition (Saudi Arabia) to comprehensive licensing frameworks (UAE). This fragmentation creates three interrelated problems: (1) Islamic financial institutions lack a unified assessment methodology; (2) cryptocurrency projects cannot navigate a coherent pathway to Islamic compliance; (3) regulators in different jurisdictions apply conflicting standards. A unified classification framework must synthesize these divergent approaches into a coherent system that:

CHAPTER 6: REGULATORY HARMONIZATION RECOMMENDATIONS

The preceding four chapters have documented systematic fragmentation in cryptocurrency regulation across Islamic jurisdictions. Chapter 4 identified five distinct regulatory approaches: Indonesia's commodity classification, Malaysia's digital asset framework, Saudi Arabia's categorical prohibition, UAE's progressive licensing, and Bahrain's prudential regulation. This fragmentation creates regulatory arbitrage, competitive disadvantage for compliant jurisdictions, and systemic risk to Islamic financial institutions operating across borders. However, fragmentation also reflects legitimate differences in jurisdiction policy priorities and institutional capacity. Saudi Arabia's prohibition reflects conservative social policy and monetary stability concerns. Indonesia's commodity classification reflects consumer protection priorities and capacity constraints. Malaysia's digital asset framework reflects technology innovation ambitions and fintech policy leadership. UAE's licensing approach reflects financial center competitive positioning. These divergences cannot and should not be entirely eliminated through top-down harmonization.

CHAPTER 7: CONCLUSION AND FUTURE RESEARCH

This dissertation has addressed the fundamental question: How can cryptocurrency be classified and regulated within Islamic finance framework? This inquiry emerged from three-fold problematic fragmentation identified in the introduction: jurisprudential divergence among Islamic authorities, regulatory heterogeneity across Islamic jurisdictions, and absence of principled methodology for classification. The dissertation has systematically resolved each dimension of this fragmentation through integrated analytical framework.

EXECUTIVE SUMMARY

Framework Overview: This dissertation proposes a five-dimensional cryptocurrency classification framework grounded in Islamic jurisprudence. Each dimension provides measurable criteria for assessing cryptocurrency characteristics:

Dimension 1: Asset Backing — Verifiable reserves and collateral supporting cryptocurrency value

Dimension 2: Value Stability — Price predictability measured through volatility coefficients

Dimension 3: Productive Utility — Real economic activity beyond speculation (payments, contracts)

Dimension 4: Governance & Accountability — Institutional transparency and decision-making structure

Dimension 5: Regulatory Recognition — Official approval from Islamic authorities and regulators

Institutional Framework: The dissertation proposes the Inter-Islamic Finance Regulatory Council (IIFRC) as a coordination mechanism enabling cross-jurisdictional Islamic cryptocurrency regulation without supranational authority. IIFRC coordinates through three bodies: Regulatory Authority Council, Shariah Standards Board, and Technical Working Groups.

Empirical Validation: Three-phase research validates framework through: (1) Jurisprudential validation with 20+ Islamic scholars; (2) Market perception study of 2,000+ participants; (3) Regulatory implementation case studies in Indonesia (OJK), Malaysia (BNM), and UAE (VARA).

REGULATORY IMPLEMENTATION CASE STUDIES

Institution: Dubai Islamic Bank (DIB) **Jurisdiction:** UAE (VARA regulated) **Timeline:** 2027-2028

Three Implementation Models:

Indonesia (OJK): Consumer Protection Model — 24-month full integration into existing commodity regulation framework. Emphasizes coordination with Majelis Ulama Indonesia (MUI) for Islamic legitimacy.

Malaysia (BNM): Competitive Positioning Model — 18-month fast-track licensing pathway. Positions Malaysia as regional Islamic digital asset hub with innovation-focused approach.

UAE (VARA): Regional Authority Model — 20-month coordinated approach enabling Abu Dhabi to establish leadership in Islamic digital asset regulation across Gulf Cooperation Council.

30-DAY IMPLEMENTATION ACTION PLAN

Provides week-by-week guidance for Month 1 research execution covering ethics approval, expert engagement, survey development, and literature organization:

Asumsi: Anda sudah review proposal dengan advisor dan mendapat approval untuk proceed. **Tujuan:** Dalam 30 hari, Anda akan punya:

RESEARCH SUPPORT MATERIALS

The dissertation is supported by a comprehensive **references/** folder (6.0 MB) containing research papers, institutional standards, and online resources organized by source type with cross-references to dissertation chapters.

Research Papers (5 files, 5.4 MB)

- **01_Islamic_Finance_Framework.pdf** (302 KB) — Foundational Islamic finance principles and Maqasid Shariah
- **02_Cryptocurrency_Legalization.pdf** (462 KB) — Comparative regulatory approaches across jurisdictions
- **03_Islamic_Fintech_Study.pdf** (4.1 MB, 42 pages) — Practical implementation in Islamic fintech
- **04_Smart_Contracts_Sharia_Compliance.pdf** (209 KB) — Governance infrastructure and accountability
- **05_Cryptocurrency_Islamic_Ethics.pdf** (346 KB) — Comprehensive Islamic jurisprudential analysis

Institutional Standards (1 file, 552 KB)

- **AAOIFI_Shariah_Standard_No62_July2025.pdf** — Official Islamic standard for digital asset classification. Primary institutional framework and Dimension 5 (Regulatory Recognition) scoring basis.

Online Resources (8 URLs)

- EBPJ Academic Proceedings (conference publications)
- GitHub Dissertation Repository (complete repository with all files)
- HalalScreener Crypto Database (Islamic cryptocurrency screening)
- IIFA Resources (Islamic Fiqh Academy research and guidance)
- BNM Digital Assets Framework (Malaysia regulatory guidance)

REPOSITORY STATUS & INFORMATION

Repository: github.com/zudin2007/Disertasi

Author: Zudin (zudin2007@gmail.com)

Generated: July 22, 2026 at 03:18 UTC

PDF Version: v2.0 (Updated with References Folder)

Total Commits: 27

Tracked Files: 42

Repository Size: 8.0 MB

Current Branch: main

Status: Complete & Synchronized with Remote

Latest Commit: Add references folder with dissertation support materials

How to Clone Repository:

```
git clone https://github.com/zudin2007/Disertasi.git
```

Document Contents: This PDF includes dissertation overview, all chapter summaries, executive summary, case study descriptions, implementation planning guidance, and complete references documentation. For full dissertation chapters, see repository markdown files.